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POLICY NUMBER: FP-OPSFIN-110

House Funds

This policy provides guidance for the issuance and control of House Funds.

POLICY STATEMENT

House Funds are commonly issued to Team Members to accommodate guest needs for change, currency exchange, and to effectively process cash transactions.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. HOUSE FUND ISSUANCE

- 1) Team Members must be issued house funds following a written request for funds from the authorizing Department Head or HR.
- 2) Background checks must be completed, prior to the issuance of a house fund unless restricted by local law or legislation, and maintained in accordance with your local "Background Check Guidelines" issued by Human Resources. Human Resources will review the background check and discuss as appropriate with the Finance Leader prior to issuing funds. A criminal record report or credit check is only required if deemed necessary by Finance and HR and/or local law.
- 3) Authority to approve issuance of house funds rests with the Finance Leader who may delegate this authority to a qualified subordinate. The Finance Leader may authorize the issuance of house funds prior to the completion of a background check.
- 4) Once the required background checks are confirmed complete, a House Funds Contract and Cash Handling Instructions will be issued and completed at the time the funds are distributed to the Team Member. The signature of the Team Member on the House Funds Contract and Cash Handling Instructions is evidence that they have received the funds and understand the procedures for using house funds. The Team Member is then solely responsible for the security and accuracy of their issued funds.
- 5) The House Funds Contract and Cash Handling Instructions must be on file at the Hotel for each house fund issued. Both documents must be completed and contain the following:
 - a. Team Member Name
 - b. Team Member Title
 - c. Team Member Department
 - d. Date of Issuance
 - e. Amount of house funds (both in figures and spelled-out)
 - f. Safety Deposit Box Number (if applicable)
 - g. Received by Team Member signature and date
 - h. Issued by Team Member name, signature, and date
- 6) When not in use, the funds must be secured in an assigned Safety Deposit Box, or equivalent. Hotels that do not have individual Safety Deposit Boxes must document their alternative procedures. The procedure must be approved by both the Finance Leader and the Operations Leader. The alternative procedures must be included in the Cash Handling Instructions, which are signed by all applicable Team Members. The Regional Finance Director must approve these alternative procedures.
- 7) If the Hotel uses a cash machine, a House Funds Contract and Cash Handling Instructions must still be issued and completed at the time the Team Member is added to the cash machine.

- 8) House funds must be kept to the minimum necessary to operate the business. The Finance Leader is responsible for verifying that all house funds are maintained at the appropriate levels.

B. REVOLVING FUNDS

In some instances, revolving funds may be issued. In this situation, one issued house bank is transferred from Team Member to Team Member at the end of a shift. When revolving funds are used, the following additional controls must be in place:

- 1) Prior to the issuance of revolving funds, a House Bank Contract and Cash Handling Instructions must be completed by each Team Member with access to the funds.
- 2) When funds are transferred, a full count must be performed by both the incoming and outgoing Team Members.
- 3) This count must be documented, including signatures and dates of both Team Members.
- 4) The outgoing Team Member must drop the completed count sheet with their daily deposit in the drop safe.
- 5) The revolving funds must be secured in a Safety Deposit Box (or equivalent) when not in use during a shift.

Any Hotel that wishes to use revolving funds must document the procedure and must obtain approval from both the Finance Leader and the Regional Finance Director.

C. HOUSE FUND CONTROL

- 1) All signed House Funds Contract & Cash Handling Instructions will be kept in a secure location at the Hotel as determined by the Finance Leader.
- 2) Finance is required to keep a complete list of all house funds issued. This listing must include the name of the house funds holder, the date issued, the Team Member's department, and the amount. This list must be reconciled to the General Ledger on a monthly basis and any discrepancies are to be investigated and resolved as part of the reconciliation process.
- 3) Upon extended leave (two weeks or more), termination, or re-assignment to non-cashiering duties, the funds and key to the safety deposit box are to be returned to the General Cashier. If the General Cashier is not available, the funds must be turned in to a Supervisor or Department Head, counted, and dropped in the drop safe. The General Cashier must verify the funds and the original Contract must be cancelled. If the funds need to be reissued at a later date, normal funds issuance procedures (excluding applicable background checks) are to be followed.
- 4) Duplicate safety deposit box keys are not allowed unless a dual control policy is in place that is pre-approved by the Regional Finance Director. A dual control policy incorporates duplicate keys that are maintained in a separate and secured environment requiring two people to attain access. Duplicate keys must not exist for any guest safety deposit boxes.
- 5) House funds must always be on property in the assigned safety deposit box (or approved alternative to safety deposit box storage) when not in use and must be available upon request.

D. HOUSE FUND AUDIT PROCEDURES

- 1) A surprise house fund audit must be performed each month. No Team Member may count his or her own house funds. Where possible, a member of the Finance team should carry out the surprise house fund count; however, a designated operating supervisor may count the bank of a Team Member under their supervision. The count dates must be varied, with a different date and day of the week chosen each month. Only those Team Members assigned to perform the audit are to be informed of the audit date. The General Cashier must never audit house funds or be part of the surprise count process in any way.
- 2) A specific audit day(s) must be selected and only communicated to the Team Members conducting the audit.

- 3) All Team Members with house funds totaling \$2,000 USD or greater are to be counted every month. At least 50% of all house funds are to be counted within the month. No Team Member will go more than two consecutive counts without having their funds audited (i.e., within a three month period, all Team Members must be counted at least once).
- 4) The Team Member must remain present at all times while their funds are being counted. The person counting the funds must prevent any attempt by the Team Member to alter the funds.
- 5) Any discrepancy in the funds counted (i.e., over or short) must be dropped or a due back must be prepared. Anything else of a suspicious nature must be promptly reported to the Finance Leader.
- 6) Each bill of each denomination must be counted. The person counting shall check for bills or coins of lower denomination being inserted in a pack of higher denomination bills or coins. Large bills (\$50- \$100) must be reviewed for possible counterfeit, where possible.
- 7) Unless the Team Member is already on duty, no checks (personal, company, or cashier) shall be included in the funds being counted. If a check is found, an inquiry must be made as to why it was not included in the Team Member's previous day deposit. The date, amount, maker of the check, and the basis on which it was accepted should be reported to the Finance Leader.
- 8) Temporary house fund loans executed between a Team Member and their supervisor for business purposes must be returned and counted at the end of the shift. Loans between peer Team Members are not permitted.
- 9) Any temporary additions to a Team Member's funds from the General Cashier's funds must be supported by an approved petty cash voucher held in the General Cashier's vault. Any petty cash vouchers included in the funds being counted are to be listed individually on the count worksheet. Each voucher must be drawn in ink, be adequately explained, be supported by a receipt where applicable, and be properly approved.
- 10) Once the surprise counts are completed, including the General Cashier's main vault, all count sheets must be maintained as support for the month-end balance sheet account reconciliation.

E. MAIN VAULT AUDIT PROCEDURES

- 1) The surprise count of the General Cashier's main vault must occur once per month and the date should be varied as described above. The main vault must be counted by either the Operations Leader or the Finance Leader.
- 2) The main vault must be opened with the counter and General Cashier present. The audit must be completed using the same procedures described above for counting house funds. Petty cash vouchers and due backs must be current, but need not be individually listed and can be shown as totals.
- 3) In addition, the General Cashier is required to perform a self-count of the main vault each working day. At least weekly, the General Cashier's house funds should be counted with a witness present (i.e., a Team Member designated by the Finance Leader).

DEFINITIONS

TERM/ACRONYM	DEFINITION
Due Back	Sometimes called a “due me”. Occurs when a Team Member has insufficient takings (received cash) to complete a transaction such as a paid out, currency exchange, or tip pay out. Typically, a due back is used to bring a Team Member's issued house bank back to its original amount and/or to pay monies due to a Team Member when they are owed cash for tips as required under local law or a collective bargaining agreement.
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).

House Fund	Also known as “Floats” or “Banks”. This is a set amount of money issued to a Team Member to be used in the normal course of hotel operations.
Regional Finance Director	Regional Team Member responsible for the Accounting / Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.